

## **Coodu Trust Procurement Policy**

### **Purpose**

The purpose of the Procurement Policy is to ensure that Coodu Trust's purchasing activities are efficient, transparent, cost-effective, and aligned with organizational goals. This policy provides a standardized process for acquiring goods and services and ensures that the organization follows all applicable laws, regulations, and ethical guidelines while conducting procurement activities.

### **Scope**

This policy applies to all procurement activities undertaken by Coodu Trust, including the purchase of goods, services, and works required for the day-to-day functioning of the organization. It is applicable to all departments, employees, and stakeholders involved in procurement processes.

### **1. Procurement Objectives**

The primary objectives of Coodu Trust's procurement activities are:

- To obtain the best value for money in all purchases.
- To ensure fairness, transparency, and accountability in procurement processes.
- To maintain compliance with all relevant laws and regulations.
- To promote ethical standards in all procurement decisions.

### **2. Currency of Procurement**

- **Currency for Transactions:** All procurement transactions, including purchase orders, invoices, and payment receipts, will be conducted in **Indian Rupees (INR)**. All costs, quotations, and contract amounts must be provided in INR.
- **Foreign Currency Transactions:** In cases where purchases involve foreign suppliers or require foreign currency, the equivalent amount will be calculated and approved in INR. The exchange rate at the time of the transaction will be used to convert the amount to INR.

### **3. Procurement Procedures**

- **Supplier Selection:** Coodu Trust will engage in fair and transparent supplier selection processes. Potential suppliers will be evaluated based on factors such as:
  - Cost-effectiveness
  - Quality of goods or services
  - Delivery timelines
  - Supplier reputation and reliability
  - Compliance with relevant laws and regulations
- **Request for Proposals (RFP):** For large or complex purchases, an RFP will be issued, and suppliers will be invited to submit bids. The RFP process will include clear criteria for evaluating proposals and selecting the most suitable supplier.
- **Purchase Order (PO):** Once a supplier is selected, a formal purchase order will be issued. The purchase order will outline the agreed-upon terms, such as the quantity, price, and delivery schedule.

#### 4. Procurement Thresholds

Coodu Trust will set thresholds for different levels of procurement activities. These thresholds determine the approval levels and processes that must be followed.

- **Low-Value Purchases (Up to INR 20,000):**
  - Can be approved by departmental heads.
  - Can be made with minimal documentation (quotation, invoice).
- **Medium-Value Purchases (INR 20,001 to INR 50,000):**
  - Must be approved by a procurement manager.
  - Requires at least **two competitive quotes** from suppliers.
- **High-Value Purchases (Over INR 50,000):**
  - Must be approved by senior management.
  - Requires an RFP process and thorough documentation of supplier evaluation.

#### 5. Supplier Relationship Management

- **Contractual Agreements:** All suppliers must sign a formal contract that clearly defines the terms and conditions of the transaction, including delivery schedules, payment terms, and penalties for non-compliance.
- **Ethical Conduct:** Suppliers must comply with Coodu Trust's ethical standards, including not engaging in bribery, corruption, or unethical business practices. Coodu Trust reserves the right to terminate contracts if ethical standards are violated.

#### 6. Payment Terms and Conditions

- **Payment Process:** Payments will be made in INR as per the agreed-upon terms in the contract. Payments will be made only after the receipt and acceptance of goods or services.
- **Payment Methods:** Payments will be made through bank transfers or other secure, traceable methods. Personal payments will not be allowed for business-related procurement transactions.
- **Late Payments:** Late payments may result in penalties as outlined in the supplier contract. Any deviations from the agreed payment schedule must be approved by the finance department.

#### 7. Procurement Records and Documentation

- **Documentation:** Coodu Trust will maintain proper records of all procurement transactions, including:
  - Supplier quotes or bids
  - Purchase orders
  - Supplier contracts
  - Invoices and payment records
  - Delivery receipts
- **Audit and Compliance:** All procurement documents are subject to audit. Coodu Trust will conduct periodic internal audits to ensure compliance with this policy and identify any areas for improvement.

#### 8. Sustainability and Social Responsibility

- **Environmental Impact:** Whenever possible, Coodu Trust will seek to procure goods and services that are environmentally sustainable, minimize waste, and contribute to energy efficiency.

- **Social Responsibility:** Coodu Trust encourages its suppliers to comply with local labor laws, fair wages, and safe working conditions for employees.

## **9. Conflict of Interest**

Employees involved in the procurement process must disclose any personal or financial interest in a supplier or vendor to avoid conflicts of interest. The employee must recuse themselves from the procurement decision-making process if a conflict exists.

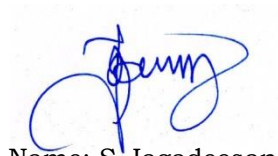
## **10. Policy Review and Updates**

Coodu Trust will review and update this Procurement Policy annually to ensure its relevance and effectiveness. Any updates to this policy will be communicated to all relevant stakeholders.

## **Acknowledgment of Procurement Policy**

By engaging in procurement activities, employees and suppliers acknowledge that they have read, understood, and agree to comply with this Procurement Policy.

\*\*\*True Copy\*\*\*



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